



should have a play on inflation. Most companies are already passing inflation [on to consumers]... which means retail inflation will go up. I think we are fortunate that food inflation has been managed well in the country as compared to the global market. I think agriculture as a sector has done well, and that helped us manage the inflation well. Historically, in the years when crude prices were above \$100 a barrel, you would typically see inflation in double digits. I think because of food inflation being managed, we are seeing retail inflation somewhere in the 5-6 per cent range. That is a risk, and it is an important monitorable. We will, of course, see interest rates rise, possibly having an impact. There will be an impact on the demand side as well.

Q: What are your takeaways from the kind of business confidence that you see at this point because of the geopolitical conditions?

A: I would say that the last two years have been quite unpredictable. Every time you feel that things are going to improve, you get hit with something or the other. We have already seen three Covid-19 waves. And then, as we were expecting things to stabilise after the third wave, we saw the geopolitical crisis coming in. From a demand perspective, urban households have been doing well. We did a survey of the salaries of large companies... [and] saw an increase in the payout. If you look at large IT companies, service exports have done well. The pandemic has had less of an impact on urban

households than it has had on rural households. In the rural areas, the self-employed, contact-based industries, SMEs, etc., have seen destruction of demand. It has taken them time to come back. Government schemes like the Emergency Credit Line Guarantee Scheme (ECLGS) have helped. We are seeing a revival in contact-based industries. It should augur well if people start travelling.

Q: What is the feeling in corner rooms?

A: We have seen a lot of deleveraging at the larger corporations. If you just look at the credit ratio that we released recently, we were above five, which means your upgrade-to-downgrade ratio is skewed towards upgrades versus downgrades. There are multiple reasons for that. Demand is coming back post the pandemic. The deleveraging of balance sheets has improved. It augurs well for companies to be able to set themselves up for better credit growth and drive investments. Large corporations are in a good place to take advantage of the economy opening up, whereas the SMEs and the self-employed will take some more time to recover.

Q: There is a lot of talk about the lack of private capex in the economy. What is holding private capital expenditure back?

A: If you look at the last few years, private capex has lagged as compared to government capex. The invest-